Knight Energy - Form 10-K Extract (Fiscal 2023)

Item 1. Business

Knight Energy is a energy company operating through three reportable segments: Upstream,

Refining and Renewables. Our principal executive offices are located in Boston, Massachusetts. As of the end of fiscal 2023, we employed approximately 30,445 people worldwide. We sell to customers in more

than 107 countries and our strategy emphasises disciplined capital

allocation, operational excellence and organic growth.

Item 1A. Risk Factors

- Acquisitions may not deliver the expected synergies and could divert management attention. We have experienced such events in the past and expect to continue to face them. The occurrence of any of these events could have a material adverse effect on our business, financial condition and results of operations.

- Climate-related regulation and physical risks may increase our operating costs. Insurance coverage may not be sufficient to cover all losses arising from these risks. We monitor this exposure through our enterprise risk management framework and report it to the Audit Committee each quarter.

- Litigation and regulatory investigations could result in significant fines or restrictions on our business. Insurance coverage may not be sufficient to cover all losses arising from these risks. We have experienced such events in the past and expect to continue to face them.

- We may be unable to attract and retain the highly skilled employees our strategy needs. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances. We have experienced such events in the past and expect to continue to face them.

- Our international operations expose us to foreign-exchange volatility, sanctions regimes and differing tax laws. We have experienced such events in the past and expect to continue to face them. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs.

- Changes in interest rates could adversely affect our net interest margin and the fair value of our fixed-income investment portfolio. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances. The occurrence of any of these events could have a material adverse effect on our business, financial condition and results of operations.

- Our indebtedness could limit our flexibility in planning for or reacting to changes in our business. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs.

Item 2. Properties

We own or lease manufacturing, distribution, research and office facilities in North America, Europe and Asia. We believe our facilities are suitable and adequate for our current needs and that additional space can be obtained on commercially reasonable terms if required.

Item 3. Legal Proceedings

From time to time we are party to litigation, claims and regulatory proceedings arising in the ordinary course of business. While the outcome of these matters is inherently uncertain, management does not currently expect them to have a material adverse effect on our consolidated financial position.

Item 7A. Quantitative and Qualitative Disclosures About Market Risk

We are exposed to market risks from changes in interest rates, foreign-currency exchange rates and commodity prices. We use derivative instruments, principally interest-rate swaps and foreign-currency forwards, to manage these exposures, and we do not enter into derivatives for speculative purposes. A hypothetical 100 basis point increase in interest rates would not have a material effect on our interest expense given the predominantly fixed-rate nature of our borrowings.

Item 7. Management's Discussion and Analysis

Total revenue for fiscal 2023 was $33,577 million, an increase of 1.3 percent compared with the prior year. Operating margin was 10.1 percent and net income was $2,635 million. The Upstream segment was our largest, contributing $21,473 million of revenue.

Segment revenue:

- Upstream: $21,473 million
- Refining: $6,499 million
- Renewables: $5,605 million

Results reflected pricing actions partly offset by restructuring charges.

Liquidity and Capital Resources

Long-term debt totalled $4,994 million, and cash and cash equivalents were $3,572 million. Capital expenditures were $4,018 million, primarily for capacity expansion and technology infrastructure. The Board declared total dividends of $1.20 per share and authorised a $358 million share repurchase programme. We believe existing cash, operating cash flow and our revolving credit facility will be sufficient to fund operations for at least the next twelve months.